UNIT 3: CONSOLIDATED STATEMENT OF FINANCIAL POSITION

SESSION 5: INTRA –GROUP ADJUSTMENTS ONE

In this session, we would examine how intra-group transactions and balances are dealt with in consolidated statement of financial position. Refer to the third consolidation procedure, which is to eliminate intra-group transactions and balances. Sessions five and six are the focus of these transactions and balances.

Objective

At the end of this session, you should be able to deal with some intra-group balances in the preparation of consolidated statement of financial position.

Current Accounts/Intra-Group Balances

The objective of group accounts is to present the group **as a single entity, referred to as the single entity concept**. Hence the effects of **transactions between group members** need to be **eliminated**, as the group has not transacted with any third party. These transactions could be between the parent company and a subsidiary or between two subsidiaries.

- Group accounts must reflect transactions with third parties only,
- The effects of transactions between group members are cancelled on consolidation,
- This is an application of the single entity concept

Reflecting the group as a single entity means that items which are assets in one group company and liabilities in another **need to be cancelled out**, otherwise group assets and liabilities will be overstated through double counting.

Intra-group balances result from, for example:

- One group company's loans, debentures or redeemable preference shares held by another group company
- Intra-group trading

If P and S trade with each other than this will probably be done on credit. Note that these intra-group transactions are usually recorded within a single account in each entity, known as the current account. This will lead to:

- a receivables (current) account in one entity's SFP
- a payables (current) account in the other entity's SFP.

These are amounts owing within the group rather than outside the group and therefore they must not appear in the consolidated statement of financial position. They are therefore cancelled against each other on consolidation, by deducting from the relevant lines on the SFP. These include loans, debentures and redeemable preference shares.
Cancel the **credit balance** in one company against the **debit balance** in the other before adding assets and liabilities line by-line.

Intra-Group Trading

Outstanding amounts in respect of intra-group trading are usually recorded in the statement of financial position in current accounts (receivable or payable account for a fellow group company).

Cash/goods in transit

Often at the year end, the current accounts may not agree, owing to the existence of in-transit items such as goods or cash. The usual rules are as follows:

- If there are goods or cash in transit, adjust the statement of financial position as if the goods or cash had been received.
- For cash in transit: Dr Cash Cr Receivables
- For goods in transit: Dr Inventory Cr Payables

This adjustment is for the purpose of consolidation only. Once in agreement, the current accounts may be cancelled as normal. This means that reconciled current account balance amounts are removed from both receivables and payables in the consolidated statement of financial position.

Step 1

Check that current accounts to **agree** before cancelling. They may not agree if goods or cash are in-transit at year end.

Step 2

Make balances agree by **adjusting for in-transit items** in the **receiving company's books**.

Step 3

Cancel intra-group balances.

Illustration 1: Cash in transit

Extracts from the statement of financial position of ABC Ltd and its subsidiary XYZ Ltd at 31 March 2025 are as follows.

	ABC Ltd	**XYZ Ltd**
	GH¢	GH¢
Receivable from XYZ Ltd	25,000	-
Payable to ABC Ltd	----	(20,000)

XYZ Ltd sent a cheque for GH¢5,000 to ABC Ltd on 28 March 2025, which ABC Ltd did not receive until 2 April 2025.

Solution

Steps 1 and 2

Assume that ABC Ltd had received the cash from XYZ Ltd.

	ABC Ltd	XYZ Ltd
Receivables from XYZ Ltd (25-5)	20,000	-
Cash and cash equivalents	5,000	-
Payable to ABC Ltd	-	(20,000)

Step 3

Cancel inter-company balance on consolidation, leaving just the cash in transit in the consolidated statement of finance position.

	GH¢
Cash and cash equivalent	5,000

Illustration 2 – Goods and cash in transit

The following are the extracts from the statements of financial position of Nima and Wa as at 31 December 2025.

Extracts from Statement of Financial Position as at 31 December 2025

	NIMA	WA
	GH¢	GH¢
Current assets		
Inventories	500,000	300,000
Receivables	800,000	600,000
Cash at bank	300,000	240,000
Current liabilities		
Payables	680,000	520,000
Total Equity and Liabilities	**680,000**	**520,000**

Additional information:

- Nima's trade receivable at the year-end include GH¢200,000 due from Wa. This included goods of GH¢30,000 that had been despatched by Nima on 29 December 2025 but had not arrived at Wa at the year-end.
- Wa's trade payables at the year-end include GH¢120,000 due to Nima. This was after deduction of GH¢50,000 in respect of cash sent to Nima on 29 December 2025 but had not arrived at Nima by the year-end.

Required: Prepare the current assets and current liabilities extracts from the Nima group statement of financial position.

Solution/Analysis

- The receivable current account balance due from Wa in the books of Nima = GH¢200,000 due to goods and cash in transit.
- The payable balance to Nima in the books of Wa = GH¢120,000 due to goods and cash in transit.
- The rule is to reconcile by assuming the goods/cash have been received.
- For Nima, cash from Was is assumed to be received: Dr. Cash Cr. Receivables with GH¢50,000. The receivables balance reduces to GH¢150,000.
- For Was, goods from Nima is assumed to have been received: Dr. Inventory Cr. Payable with GH¢30,000. Payables balance increases to GH¢150,000.
- Conciliation is complete – eliminate intra-group balances of GH¢150,000 from group receivables and payables.

The extracts from the consolidated statement of financial position of Nima Group is:

Nima Group
Extracts from Consolidated Statement of Financial Position

	GH¢
Current assets	
Inventories (500,000+300,000+30,000)	830,000
Receivables (800,000+600,000-50,000-150,000)	1,200,000
Cash at bank (300,000+240,000+50,000)	570,000
Current liabilities	
Payables (680,000+520,000+30,000-150,000)	1,080,000
Total Equity and Liabilities	**1,080,000**

Unrealised Profit
Profits made by entities within a group on transactions with other group entities are:

- recognised in the accounts of the individual entities concerned, but
- are unrealised in terms of the group as a whole, and must be eliminated from the consolidated financial statements.

Unrealised profit may arise within a group on:

- inventory where entities trade with one another
- non-current assets where one group entity has transferred an asset to another.

The key issue is that the consolidated statement of financial position must show assets at their cost to the group. As such any profit arising on intra-group transactions must be eliminated from the group accounts until it is realised by a sale outside the group, by creating a Provision for Unrealised Profit (PUP)

One of the implications of the application of the single entity concept is that group accounts should only reflect profits generated from transactions which have been undertaken with **third parties**, ie entities outside the group.

Unrealised profits must be eliminated from the statement of financial position on consolidation to prevent the overstatement of group profits.

Unrealised profit on inventories
Any receivable/payable balances outstanding between group companies, resulting from trading transactions, are cancelled on consolidation. If these transactions have been undertaken at cost no further problem arises.

However, each company in a group is a separate trading entity and may sell goods to another group member at a profit. If these good remain in inventories at the end of the reporting period this profit ids unrealised from the group's point of view.

In the consolidated statement of financial position, applying the single entity concept, inventories must be valued at the lower of cost and net realizable value to the group. Where goods transferred at a profit are still held at the year end the unrealised profit must

be eliminated on consolidation. This is achieved by creating a provision for unrealised profit (PUP).

The way in which this adjustment is made depends on whether the company making the sale is the parent or a subsidiary.

Parent Sells Goods to Subsidiary
The issues are best illustrated by an example.

Illustration 3: Intra-group Profit (P →S)
Amma Ltd a parent company, sells goods which cost GH¢3,200 to Baby Ltd for GH¢4,000. Ant Ltd owns 75% of the shares in Baby Ltd. Baby Ltd still holds the goods in inventories at the year end.

Solution 3/Analysis

- In the single entity accounts of Amma Ltd, the profit of GH¢800 will be recognised.
- In the single entity accounts of Baby Ltd the inventory will be valued at GH¢4,000.
- Since goods are still in inventory, therefore within the group they must be at cost to the group– GH¢3,200
- If we simply add together the figures for retained reserves and inventory as recorded in the individual statements of financial position of Amma Ltd and Baby Ltd, the resulting figures for consolidated reserves and consolidated inventory will each be overstated by GH¢800. A consolidation adjustment is therefore necessary as follows:

	GH¢
DR Seller's (Amma Ltd's) retained earnings	
(ie adjust in Group Retained Earnings-W5)	800
CR Inventories in consolidated statement of financial position	800

With the above entry, inventory is reduced from GH¢4,000 to GH¢3,200 – cost to the group and the unrealised profit is eliminated.
Point to note
In this example, as the parent was the seller, the unrealised profit is all 'owned' by the Parent Amma Ltd. None is attributable to the non-controlling interest.

Subsidiary Sells Goods to Parent or to another Subsidiary
Where the subsidiary is the selling company, the profit on the transfer will have been recorded in the subsidiary's books.
Using the worked example above, if we now assume that Baby Ltd the subsidiary sold the goods to Amma Ltd the Parent, the adjustment would be as follows:

	GH¢
Dr. Parent/Group Retained earnings- 80% x 800	640
Dr. Non-controlling Interest – 20% 800	160
Cr. Group Inventory	800

Points to note

1 The net assets of the subsidiary making the sale at the end of the reporting period will be reduced by the amount of the unrealised profit. Any subsequent calculations based on these net assets figure will therefore be affected as follows:
- The group share of the post-acquisition retained earnings of the subsidiary will be reduced, ie the group will bear its share of the adjustment.
- The non-controlling interest will be based on these revised net assets ie the non-controlling interest will bear its share of the adjustment.

2 Inventories in the consolidated statement of financial position are reduced by the full amount of the unrealised profit irrespective of whether the parent or a subsidiary is the selling company.

3 If Baby Ltd had sold the goods to another subsidiary, rather than to the parent, the adjustment would be the same.

Illustration 4

P Company owns 75% of the equity shares in S Company. In November 2025, S Ltd sold goods costing GH¢60 million to P Company for GH¢80 million. At 31 December 2025, all the items remained unsold by P Company. Demonstrate the possible accounting treatment for the unrealised profit.

Solution 4

Debit	Group Retained Earnings	GH¢15 million
	Non-controlling interest	GH¢ 5 million
Credit	Inventory in trade	GH¢20 million

Illustration 5: Unrealised Profits

P Ltd owns 80% of S Ltd, which it acquired when the retained earnings of S Ltd were GH¢40,000. No goodwill was acquired. Statements of financial position at the end of the current accounting period are as follows:

	P Ltd GH¢	S Ltd GH¢
Assets	340,000	230,000
	60,000	20,000
Share capital	200,000	130,000
Retained earnings	260,000	150,000
Equity	80,000	80,000
Liabilities	340,000	230,000

During the current accounting period S Ltd sold goods to P Ltd for GH¢36,000, which gave S Ltd a profit of GH¢12,000. At the end of the reporting period half of these good were included in P Ltd's inventories.

Requirement
Show how the adjustment to eliminate unrealised profits will appear in the consolidation workings for P Ltd.

Solution 5
The sale was made by the subsidiary and therefore the unrealised profit was in the books of the subsidiary. The unrealised profit is therefore shared between the parent and NCI. The unrealised profit can therefore be added to the net asset working 2.

Workings - P Group

1. Structure
Parent = 80%: NCI = 20%
Consolidation period

2. Net assets of S	**At Acquisition GH¢**	**At Reporting GH¢**
Share capital	20,000	20,000
Retained earnings	40,000	130,000
Provision for unrealised profit - 12,000/2 = 6,000		(6,000)
Total Net Assets	**60,000**	**144,000**
Post-acquistion profit (144,000-60,000)	84,000	

3. Calculation Goodwill - No Goodwill	
Cost of investment	48,000
Parent proportion of net assets acquired (80% x 60,000)	(48,000)
Goodwill at acquistion and at reporting	**-**

4. Non-controlling Interest - (NCI)	
NCI proportion of net assets acquired (20% x 60,000)	12,000
Share of post-acquisition profit (20% x 84,000)	16,800
Value of NCI at reporting date to Conso SFP	**28,800**

5. Group Retained Earnings - (GRE)	
Parent 100% retained earnings	200,000
Share of post-acquisition profit (80% x 84,000)	67,200
Value of GRE at reporting date to Conso SFP	**267,200**

P Group

Consolidated Statements of Financial Position as at 31 December 2025	
	GH¢'000
Goodwill	-
Other assets (340,000+230,000-6,000-48,000)	516,000
Total Assets	**516,000**
Equity and Liabilities	
Ordinary shares (GH₵ 1)	60,000
Group Retained Earnings (W5)	267,200
Non-controlling Interest (W4)	28,800
Current liabilities (80,000+80,000)	160,000
Total Equity and Liabilities	**516,000**

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Non-current Asset Transfers

As well as trading with each other, group companies may wish to transfer non-current assets. If the asset is transferred at a profit/loss, two issues arise:

- The selling company will have recorded a profit or loss on sale
- The purchasing company will have recorded the asset at the amount paid to acquire it, and will use that amount as the basis for calculating depreciation.

On consolidation, the single entity concept applies. The consolidated statement of financial position must show assets at their cost to the group, and any depreciation charged must be based on that cost. In other words, the group accounts should reflect the non-current asset as if the transfer had not been made.

Parent Sells Non-current Asset to Subsidiary

As with inventories the impact of the adjustment will depend on whether the parent company or the subsidiary makes the sale. If the parent transferred the asset,

- the unrealised profit is with the parents and must be eliminated from the parent's books – Dr. GRE and Cr. Group PPE to maintain the asset at cost to the group.
- Depreciation is by the subsidiary, add back excess depreciation by sharing to parent and NCI – Dr. Group PPE Cr. GRE and NCI

Illustration 6: Non-current Asset Transfers

Power Ltd owns 80% of Small Ltd. Power Ltd transferred to Small Ltd a plant at a value of GH¢30,000 on 1 January 2025. The original cost to Plant Ltd was GH¢40,000 and the accumulated depreciation at the date of transfer was GH¢16,000. The plant had, and still has, a total useful life of five years.

Required: Calculate the consolidated statement of financial position adjustment at 31 December 2025.

Solution 6/Analysis

- Unrealised profit by parent, excess depreciation by subsidiary.
- The original cost is GH¢40,000 and the useful life is 5 years – Annual depreciation is GH¢8,000.
- Accumulated depreciation implies the remaining useful life is 3 years
- Carrying value before transfer = GH¢24,000 and transfer price = GH¢30,000. Unrealised profit is GH¢6,000
- Depreciation after transfer is 30,000/3 = GH¢10,000. Excess depreciation = GH¢2,000
- Net effect is GH¢4,000 unrealised profit (GH¢6,000- GH¢2,000)

The consolidation adjusting entries are as follows:

Dr. GRE 6,000 Cr Group PPE 6,000 – to eliminate unrealised profit.

Dr. Group PPE GH¢2,000: Cr. GRE GH¢1,600: Cr. NCI GH¢400 – to add back excess depreciation.

Subsidiary Sells Non-current Asset to Parent

Again a consolidation adjustment is made to reflect the situation that would have existed if the transfer had not been made. Here the unrealised profit is by the subsidiary and therefore must be shared between the parent and NCI. Excess depreciation is with parent, to be add back to GRE.

Illustration 6 – Trade among group members

T & E Company, a member of Unil Group that deals in heavy equipment , sold a tractor costing GH¢400,000 to TP Plantations , another member of Unil Group (that operates oil palm plantation) for GH¢500,000 on 1 January 2025. TP Plantations depreciates tractors at the rate of 20% per annum on cost.

Required:

Calculate the amount of unrealized profit and show the consolidation adjustment required as at 31 December 2025

Solution 6

To Unil Group, the cost of the tractor is GH¢400,000 and the GH¢100,000 profit booked by T & E Company is unearned by the group and must be eliminated. Thus:

Debit	Consolidated Income Surplus	GH¢100,000	
Credit	Tractors (T P Plantations)		GH¢100,000
	Being unrealized profit on tractor sold		

Debit	Accumulated Depreciation -Tractors	GH¢20,000	
Credit	Consolidated Income Surplus		GH¢20,000
	Being adjustment for excess depreciation charge		

Illustration 7
B Ltd, a subsidiary member of A Ltd group sold a vehicle originally costing GH¢100,000 and with accumulated depreciation of GH¢40,000 to A Ltd, the parent company for GH¢80,000 on 1 January 2025. The vehicle was acquired by B Ltd in January 2023. It is the policy of the group to depreciate Vehicles at the rate of 20% per annum on cost. A Ltd used the Vehicle in 2025 and charged the required depreciation expense of 20% on GH¢80,000 in its financial statements.

Required: Show the required adjustment to be effected for the purpose of preparing consolidated financial statement of A Ltd Group.

Solution: 7/Analysis

- Unrealised profit is by B Ltd the subsidiary – to be shared between A Ltd the parent and NCI
- Depreciation is by A Ltd, the parent and to be added back to GRE
- Carrying value before transfer is GH¢60,000, sold for GH¢80,000; unrealised profit = GH¢20,000
- Depreciation before transfer = 20% of 100,000 = GH¢20,000
- Depreciation after transfer = 20% of 80,000 = GH¢16,000. Therefore, charge additional depreciation of GH¢4,000 to make up the original of GH¢20,000

Mid-Year Acquisitions
If a parent acquires a subsidiary mid-year, the net assets at the date of acquisition must be calculated based on the net assets at the start of the subsidiary's financial year plus the profits of up to the date of acquisition.

To calculate this, it is normally assumed that S's profit after tax accrues evenly over time. However, there may be exceptions to this. The most common one of these is an intra-group loan from the parent to the subsidiary at the date of acquisition.

If this is the case, the subsidiary will have incurred loan interest in the post-acquisition period that would not have been charged in the pre-acquisition period.

Illustration 8
Pat acquired 80% of Sat on 1 July 2025. Sat's retained earnings at 31 December 2025 are GH¢150,000 and Sat's profit for the year was GH¢80,000. Immediately after acquisition, Pat made a loan to Sat of GH¢400,000 which carried interest at 10%.
Required: What were Sat's retained earnings at acquisition?

Solution
Analysis

- If there was no intra-group loan, the retained earnings at acquisition date would have been GH¢150,000 – (6/12x80,000) = GH¢110,000

- With post-acquisition loan from Pat to Sat, calculate the loan interest and deduct all from post-acquisition profits…. 10% x GH¢400,000 x ½ = GH¢20,000
- Re-state the profit without the interest, which is equal to GH¢80,000+ GH¢20,000 = GH¢100,000.
- Share profit between pre-acquisition and post-acquisition of GH¢50,000 each.
- The post-acquisition profit is now adjusted by deducting the interest of GH¢20,000, leaving GH¢30,000 for the post-acquisition period.
- The pre-acquisition profit is now determined as GH¢150,000- GH¢30,000 = GH¢120,000.

Illustration 9

Tema Ltd acquired 60% of the share capital of Hamile Ltd on 31 March 2025. The share capital and retained earnings of Hamile Ltd as on 31 December 2025 were as follows:

	GH¢
Ordinary 20 pesewas share	400,000
Retained earnings at 1 January 2025	120,000
Net profit for 2025	60,000
	580,000

The profits of Hamile Ltd have accrued evenly throughout 2025. The profit on a bargain purchase arising was GH¢3,000.

Required: Calculate the retained earnings at the date of acquisition of Hamile.

Solution 9/Analysis

- The date of acquisition is 31 March 2025, a mid-year acquisition.
- The retained earnings at that date are the opening profit at 1 January 2025 plus three months profit from January to March = GH¢120,000+ (3/12 x 60,000) = GH¢135,000